

IN THE HIGH COURT OF TANZANIA
(COMMERCIAL DIVISION)
AT DAR ES SALAAM

COMMERCIAL APPEAL NO. 1 OF 2008

NIKO INSURANCE (T) LIMITED.....APPELLANT

VERSUS

L-LINE CORPORATIONRESPONDENT

JUDGMENT

ORIYO, J.

The appeal originates from an Exparte Judgment of the District Court of Kinondoni in Civil Case No. 8 of 2008. In the lower court, the respondent had sued the appellant for the payment of shs. 46,506,900/=. The suit sum was to reimburse the respondent for the repair costs incurred by the latter to repair its damaged motor vehicle as a result of a road accident. The appellant was the Insurer of the said motor vehicle. When the suit came up for the First Pre trial Conference on 1/8/2008, the appellant defaulted appearance and an order for Exparte hearing was entered. The exparte hearing took place on 19/8/2008 and Exparte judgment and decree duly entered against the appellant on 25/8/2008. However, before the exparte proceedings; the trial court had overruled and dismissed with costs a Preliminary Objection by the Appellant. The objection was to

the effect that the trial court lacked the prerequisite jurisdiction to entertain the suit which was commercial in nature, with a pecuniary value of over shs. 30,000,000/=.

The Memorandum of Appeal has 5 grounds of appeal as follows:-

1. That, Honourable Court erred in fact and in law for entertaining the suit while it had no prerequisite Jurisdiction, in that, the quantum involved in such a dispute is triable by the Commercial Division of the High Court.
2. That, the Honourable Court erred in fact and in law for ordering an exparte Proof while the matter was scheduled for the 1st pretrial Conference.
3. That, the Honourable Court erred in fact and in law for proceeding with the case prior to the framing of issues, and even if the issues were framed for not addressing itself to the issues framed.
4. That, the Honourable Court erred in fact and in law for failure to comply with the mandatory requirement of the Scheduling Conference.

5. That, the Honourable Court erred in fact and in law for granting the Respondent Judgment as prayed.

And on the basis of the above grounds of appeal, the appellant prays for the appeal to be allowed; proceedings, judgment and decree of the trial court be quashed and set aside.

However, in the course of arguing the appeal, the appellant has dropped the 4th ground of appeal. There are no reasons given; but it is obvious that in arguing ground 2 of appeal, ground 4 will be covered. On my part, I will add ground 5 in the list of unnecessary grounds because it is a natural consequence flowing from grounds 1 – 3 of appeal.

M/S C and M Advocates, learned counsel, representing the appellant; in their submissions on ground one; stated that the subject matter of the suit which is of a commercial nature is beyond the pecuniary jurisdiction of the trial District Court. In support, the learned counsel rely on SECTION 40 (3) of the Magistrates Courts Act as amended by Act 4 of 2004. Also relied upon is the decision of this court in the case of ZANZIBAR INSURANCE CORPORATION LTD. vs RUDOLF TEMBA, Commercial Appeal No. 1/2006. (unreported).

Mr. Jumanne Iddi Mgahi, a Manager of the respondent, made submissions on the grounds of appeal for the respondent

corporation. On the first ground, the respondent submitted that it was incompetent as a ground of appeal. He stated that the issue of pecuniary jurisdiction was raised by the appellant in the trial court and it was dismissed. The respondent contends that the appeal on this ground should have been filed within 30 days of the dismissal order. Otherwise it is submitted that the appeal is time barred because it was filed long after the statutory limitation period had expired.

Now, there are two issues to be determined on ground one. The first issue is whether the appeal on this ground is time barred. The second issue is, if the first issue is determined in the negative, whether the trial court had pecuniary jurisdiction to try the matter.

The first issue was as rightly submitted by the learned counsel for the appellant. The law as it is today is as it was amended by Act 2/2005; it does not allow parties to challenge interlocutory orders by Appeal, Review, Revision, etc; until the suit is finalised. The only exception is where the interlocutory order has the effect of finally disposing of the matter.

Therefore, the answer on the first issue is in the negative. The appeal on ground one is not time barred.

The second issue on the jurisdiction of the trial court; the answer is found under SECTION 40 of the Magistrates Courts Act, Cap 11 [R.E 2002] as amended by Act 4 of 2004. Act 4/2004 added a new sub-section (3) to Section 40 which reads as follows:-

"(3) Notwithstanding sub-section (2) the jurisdiction of the District Court shall, in relation to Commercial Cases be limited:-

- (a) Not applicable*
- (b) In the proceedings **where the subject matter is capable of being estimated at a money value**, to proceedings in which **the value of the subject matter does not exceed thirty million shillings.**" (emphasis supplied)*

So, whereas SECTION 40 (2) (b) of the Magistrates Courts Act generally limits the pecuniary jurisdiction of a District Court in liquidated sum claim to shs. 100,000/=; this is qualified by SECTION 40 (3)(b) above in cases of a commercial nature. The trial magistrate, when determining the objection by the appellant in the trial court, was enjoined first to determine whether the suit was a commercial one or not by making reference to the definition provided for under SECTION 2 of the Magistrates Courts Act; whether the suit involved:-

"the liability of a Commercial or business organisation or its officials arising out of its commercial or business activities."

On the foregoing analysis, by virtue of the amendment to the Magistrates Courts Act; District Courts have no jurisdiction in commercial cases whose value exceeds shs. 30,000,000/=. The value of the suit is shs. 46,506,900/=; and I hold that the District Court of Kinondoni had no jurisdiction to try the suit.

Having held as above; there is an interesting point in the trial courts decision delivered on 9/6/2008 to dismiss the objection on jurisdiction. The learned trial magistrate directed himself as follows; at page 5 of the proceedings:-

*"... the only question which needs determination by this Court is **what is the subject matter in this case and what is its value as envisaged by that paragraph (b) of subsection 3 to section 40 of the Magistrates Courts Act.**" (emphasis supplied)*

He gives answers as follows:-

"There is no doubt at all that the subject matter in this case is a motor vehicle, Musso Make with Registration number T915 APM. There is also no dispute that the value of that vehicle is

shs. 22,000,000/= as recorded by the defendant. So it is very difficult to say in the circumstances of this case, that the value of the subject matter in this case exceeds shs. Thirty Million."

It is apparent from the two paragraphs above that the learned trial magistrate was initially on the right track but confused himself as to the subject matter of the insurance policy over the motor vehicle and the subject matter of the suit which is a monetary claim of shs. 46,506,900/= as pleaded in paragraph 3 of the plaint and paragraph (a) of the prayer at the end of the plaint.

As stated; the first ground of appeal is upheld. The trial court lacked pecuniary jurisdiction to try the suit.

The first ground is sufficient to dispose of the appeal. But for the benefit of the lower courts; I will consider the second ground of appeal as well.

Submitting on the second ground of appeal, the learned counsel for the appellant contends that it was an error of law for the trial court to issue an order of Exparte Proof of the suit due to a default to appear of the appellant and its advocate. Learned counsel cites the provisions of ORDER VIIIA Rule 5 of the CIVIL PROCEDURE ACT and the Court of Appeal decision in the case of TANZANIA HARBOURS AUTHORITY vs MATHEW MTALAKULE and 8 OTHERS, Civil Appeal No. 46 of 1999 (unreported); for support.

The respondent in reply, merely contends that the appellant deserved such an order because after losing the preliminary objection, it absented itself in order to frustrate the trial court in the exercise of its judicial functions.

What was the trial court to do when the appellant/defendant defaulted appearance on 1/8/2008; the date scheduled for the First Scheduling and Settlement Conference? The answer is provided for under RULE 5 of ORDER VIIIA of the Civil Procedure Act, Cap 33, [R.E 2002] which states as hereunder:-

"Where a party to a case or the party's recognised agent or advocate fails without good cause to comply with a scheduling order, or to appear at a conference held under sub rule (1) of rule 3 or is substantially unprepared to participate in such conference, the Court shall make such orders against the defaulting or unprepared party, agent or advocate as it deems fit, including an order for costs, unless there are exceptional circumstances for not making such orders."

A practice note for the lower courts on how the trial court should proceed where a party and its advocate default appearance on a date scheduled in terms of Order VIIIA of the Civil Procedure Act, was issued by the Court of Appeal in the case of TANZANIA HARBOURS AUTHORITY vs MATHEW MTALAKULE and 8 OTHERS (supra). In the Court of Appeal, the complaint was against a High Court order of

a default judgment entered for the plaintiffs/respondents because the defendant/appellant had defaulted appearance at a Mediation Session.

To determine the issues before it, the Court of Appeal raised a number of issues in its judgment dated 4/4/2002. The first issue raised at page 5 of the typed judgment runs as follows:-

"What order a judge could give in a case a party, its recognised agent and its advocate are all absent."?

The issue was answered:-

"a Court shall make such orders against a defaulting or unprepared party, agent or advocate as it deems fit, including an order for costs."

Another issue was:-

"Can a court order a default judgment"?

Their Lordships response was:-

"We think not. The clause (including an order for costs) indicates to us that the legislature regarded costs to be more serious than (such orders) a Court could deem fit to give."

At the top of page 6 of the judgment, the Court of Appeal stated:-

"We think that under Order VIIIA rule 5, in case of a defaulting or an unprepared party, a court could give any of the following orders, that is to say,

- (a) to adjourn the matter to another day; or*
- (b) that the matter should go for a hearing before another judge.*

The court could also order costs together with any of the two orders mentioned above."

The Court of Appeal then proceeded to quash the default judgment of the High Court.

In view of the law stipulated above and the Court of Appeal decision, it is obvious that the trial court erred for ordering ex parte proof on a date scheduled for the First Pretrial and Scheduling Conference. The options available for the trial court are as set out in the Court of Appeal decision. The second ground of appeal is therefore sustained.

The Court of Appeal, after quashing the default judgment, remitted the case to the High Court for trial before a different Judge.

However in the instant case the case cannot be remitted to the trial court before another magistrate because I have held in ground 1 of appeal that the trial court had no pecuniary jurisdiction over the dispute.

In the result, the proceedings, exparte judgment and decree of the trial court are quashed and set aside.

Subject to the Law of Limitation, the respondent is at liberty to institute a fresh suit in the High Court.

I am constrained to give an order for costs because that will be encouraging truancy of parties and their advocates in future. Therefore I make no order for costs in the circumstances.

K.K. Oriyo
JUDGE

2,062WORDS.